- The fall in investments is mainly due to the decline in private investment. 'Based on the break-up of investment and saving that is available up to 2015–16, private investment accounts for five percentage points out of the 6.3 percentage point overall investment decline over 2007–08 and 2015–16.'
- Investment slowdowns are more detrimental to growth than saving slowdowns. Over the short-run, the government's policy priorities must focus on reviving investment.

And, in a not-so-subtle criticism of demonetization, the Economic Survey bluntly stated:

> Mobilizing saving, for example, via attempts to unearth black money and encouraging the conversion of gold into financial saving or even courting foreign saving are, to paraphrase John Maynard Keynes, important, but perhaps not as urgent as reviving investment.

Cautioning policy makers on the perils of measures that led to declining investments, the Survey went on to warn:

> Cross-country evidence indicates a notable absence of automatic bounce-backs from investment slowdowns. The deeper the slowdown, the slower and shallower the recovery… Evidence from other countries, which have gone through a similar investment slowdown, seem to suggest that a full recovery rarely happens.

My Perspective

The famous Chinese philosopher Lao Tzu is reputed to have said: 'Governing a great nation is like cooking a small fish – too much handling will spoil it.'

The economic impact of demonetization shows the truth of this statement. It was a totally unnecessary step which extracted a very high cost.

Instead of taking much needed steps to make it easier to do business in India, the government paralysed businesses with the chaotic demonetization.